

Build Your Skills: Budgeting

1. Housing, transportation, and food
2. Your emergency fund
3. \$1,050 (30% of the person's \$3,500 take-home pay)
4. Answers will vary

Build Your Skills: Credit

1. Missing a payment. Because you are young and your credit history is short, even a small misstep can significantly hurt your credit score.
2. Credit scores show the lenders how reliable you are to pay back your loans. If you have a low credit score with a bad credit history, lenders know that loaning you money may be riskier and they may not get their money back.
3. If you have any blemishes or negative remarks on your credit report, they will hurt your credit score. With a lower credit score, lenders see you as less trustworthy and will give you a higher interest rate (APR) for the money you have borrowed. Over time, the higher interest rate can cost you thousands of dollars.

Build Your Skills: Credit Cards

1. Spending money on a credit card takes money from your line of credit, which you need to pay back. Spending money on a debit card takes the money directly from your bank account.